

Karteria Capital White Paper

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1 Executive Summary & Investment Thesis

1.1 The Objective

The fund aims to generate competitive and consistent returns by actively trading equities and options through different strategies.

1.2 The Edge

Our structural edge is a Restricted-Universe Pod model. The fund's capital is distributed to each GP to independently execute within an approved pool of tickers. This allows us to deploy multiple strategies simultaneously without voting bottlenecks.

2 Fund Structure & Roles

2.1 The Entity

The fund operates as an unincorporated joint venture. All capital is pooled into a single proxy brokerage account held by a designated member. Participants own a fractional share of the pool proportional to their capital contribution. Individuals contributing less than \$20,000 CAD can only become LPs.

2.2 General Partners (GP)

GPs hold autonomous execution rights over their allocated Pods. Each GP will split voting right and execution right equally. Execution and voting rights are fixed and cannot be delegated or transferred between partners.

2.3 Limited Partners (LP)

LPs provide capital but cannot hold voting rights. The minimum investment is \$1,000 CAD. LPs are currently subject to a 10% performance fee on their net gains.

3 Capital Allocation Architecture

The total capital pool is completely and evenly divided among the GPs (currently 33.33% each). Shall new LPs joins, this bseline allocation will remain fixed and new fund will be split evenly among GPs.

4 Governance & Execution Protocols

4.1 The Approved Security Pool

During general meetings, members may propose the following actions regarding the Approved Security Pool (ASP):

- **Inclusion:** Add a new security to the ASP and establish its maximum capital allocation limit.
- **Exclusion:** Remove an existing security from the ASP.
- **Modification:** Adjust the maximum allocation limit of a security currently in the ASP.

All members are encouraged to propose and discuss. Execution requires a 50% approval vote from the GPs.

4.2 The GP Pods (Autonomous)

GPs retain 100% execution autonomy over their individually allocated Pod capital, but can only trade securities within the Approved Security Pool. No voting or prior approval is required to enter or exit positions within a GP's designated slot. This is subject only to the fund's risk limits and a veto from 50% of the members.

5 Risk Management

5.1 Hard Drawdown Limit

If a GP's Pod incurs a 25% drawdown, that GP's trading authority is automatically and temporarily revoked and open positions are frozen and will be decided collectively by the other GPs.

5.2 The Veto

A 50% consensus vote during a period from all members will manually trigger the Kill Switch on any active Pod if risk parameters become a concern.

5.3 Penalty Phase & Defense

TBD.

6 Economics & Fees

6.1 Profit Distribution

Net profits are distributed proportionally based on initial capital contributions and equity shares in the total pool.

6.2 Performance Fees

GPs earn a 10% carried interest fee on the net profits generated by their specific Pod's execution, provided the fund profits above the hurdle rate. The current hurdle rate is 0%. Both might be subject to change later.

6.3 TER (estimated)

TER covers the sum of the estimated ongoing expenses, expressed as a percentage of the estimated average net asset value (NAV). The current estimated figure is 1% per year, but might be subject to change in the future.

6.4 Tax Liability Shield

Currently, all fund assets are legally held in a single designated proxy account; thus, the account holder assumes all personal tax liability. All capital gains taxes incurred by the account holder must be paid out of the fund's gross profits before any net distributions or fees are calculated.

7 Liquidity (Redemptions & Contributions)

7.1 Lock-up Period

Currently, initial capital contributions are subject to a strict 1-year lock-up period.

7.2 Withdrawal Notice

Following the lock-up period, participants can submit a redemption request in a general meeting, where capital will be disbursed prior to the end of the fiscal quarter.